ShopSmart Executive Business Report

Executive Summary

ShopSmart earned ₦2.497 billion in recognized revenue from completed orders, averaging ₦151,057 per completed order. It currently holds ₦3.169 billion in stock and has an order return rate of 4.9%.

Key Findings

1. **Category performance:** Beauty leads all categories with ₦580.99 million in revenue. Beauty Item 210 is the leading product, earning ₦8.08 million.
2. **Regional and store performance:** The South leads all regions with ₦805.37 million in revenue. STR003 ShopSmart Lagos leads all stores with ₦113.45 million.
3. **Seasonality and returns:** December has the highest revenue at ₦224.71 million. Home Item 263 tops the return list with 11 recorded returns.

Business Recommendations

1. **Strengthen the Beauty category:** Focus on product range, availability, and targeted promotions, while closely monitoring the category's 5.08% return rate.
2. **Replicate proven practices:** Use STR003's and the South region's successful product presentation and day-to-day operating practices in lower-performing stores and the West region.
3. **Address stock and return issues:** Restock STR014 and STR006 first, as each has three low-stock items. Then identify and address why specific products are being returned.

Risk Identified

Inventory imbalance: ₦3.169 billion is tied up in stock, yet 14 stores have items at or below reorder level. This puts pressure on available cash and increases the risk of stock shortages.

Opportunity Identified

ShopSmart can grow the Beauty category and apply the South region's successful practices across the business. Reducing returns in the Home and Beauty categories would help retain more revenue from existing demand.

Conclusion

ShopSmart's revenue is supported by strong results from Beauty, the South region, and STR003 ShopSmart Lagos. The immediate priorities are to distribute stock more effectively, reduce product returns, and apply successful sales and operating practices in lower-performing stores and regions.